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The Strategic Importance of the Pacific Islands

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Introduction

Chairman Bera, Ranking Member Chabot, and other members of the subcommittee, thank you for inviting me to testify today, and more so for taking on this crucially important and timely topic.

China has a habit of telegraphing its punches. So, we have a pretty good idea why Beijing wants influence — and where possible, control — in the Pacific Islands.

In his 2011 book *The Pacific Islands in China's Grand Strategy: Small States, Big Games*, Professor Jian Yang writes:

> China's growing involvement in the South Pacific is part of China's growing involvement worldwide… The discussion of Chinese involvement in and policy towards the South Pacific should be placed within this bigger picture. An isolated study without understanding China's grand strategy and overall foreign policy goals can be misguided.[1]

Yang is well-placed to know. He is from China, and he worked with Chinese military intelligence for around 15 years before immigrating to New Zealand, where he became a university professor and then a member of the New Zealand Parliament. During his time in New Zealand politics, Yang traveled to China with then-Prime Minister John Key and also facilitated high-level meetings with Chinese officials for New Zealand politicians, including one with Guo Shengkun, a current Politburo member and one-time minister of public security.[2]

So what then, according to Yang, is China's grand strategy? He explains it is based on "China's concept of 'comprehensive national power' (*zonghe guoli*, CNP), which was adopted in the 1990s and has constituted the foundation of China's foreign policy."[3]

Comprehensive National Power (CNP)

Understanding China's concept of CNP is key to understanding the breadth and depth of Beijing's foreign-policy strategy.

For the Chinese Communist Party (CCP), CNP is an actual number. Captain (Ret.) Bernard Moreland — who served as U.S. Coast Guard liaison to Beijing — explains:

> One of the important things to understand about CNP is that it is an objective metric. Beijing constantly calculates and recalculates China's CNP relative to other nations the same way many of us watch our 401(k) grow. The [CCP is] obsessed with engineering

[1] Jian Yang, *The Pacific Islands in China's Grand Strategy: Small States, Big Games* (NYC: Palgrave Macmillan, 2011), page 127.
[2] Collette Devlin, "Jian Yang, the National MP Who Admitted to Training Chinese Spies, Retiring," *Stuff New Zealand* (New Zealand), July 10, 2020. (Archived version available at: https://web.archive.org/web/20200709235930/https://www.stuff.co.nz/national/politics/122094310/jian-yang-the-national-mp-who-admitted-to-training-chinese-spies-retiring)
[3] Jian Yang, *The Pacific Islands in China's Grand Strategy: Small States, Big Games* (NYC: Palgrave Macmillan, 2011), page 47.

> and calculating everything and believe that all issues can be reduced to numbers and algorithms. This is what they mean when they euphemistically refer to "scientific approaches."
>
> For us in the West, concepts like "national power" are subjective vague concepts. We often talk of our own national power, but to us it's a byproduct of a strong economy from pursuing prosperity, or a strong military from pursuing defense. We don't build power for the sake of power. That idea is foreign to us. For the Chinese Communist Party, Comprehensive National Power as measured by a CNP score is a goal in itself and pursuit of CNP justifies just about anything.[4]

Elements that add to a country's CNP numerical value can include access to and/or control over resources (all the usual ones, such as fossil fuels, but also niche strategic resources, such as lithium), naval strength (including dual-use platforms), research and development (including stolen intellectual property), human capital, financial capital, soft power, influence over global rules and norms, strategic positioning, and much more.

In the context of Oceania, things that score points for China in CNP calculations include the expected big-ticket items such as getting a country to switch its diplomatic recognition from Taiwan to China — as Kiribati did in 2019 — but also seemingly little pieces that contribute to the larger CNP picture. These pieces might be, for example, a Huawei data center in Papua New Guinea, a couple hundred Samoan athletes training in China, a Chinese police liaison officer based in Fiji, a Chinese-run shop located opposite the entrance to a barracks in Tonga, or a piece of legislation that allows online gambling in Palau.

Coordination is facilitated by China's large embassies across the region, with staffers who speak the local language and have seemingly limitless influence and entertainment funds. Also, since 2012, at least six Oceania-specific research centers have been set up in China, including Liaocheng University's Research Centre on Pacific Island Countries, which has a full-time staff of close to 40 researchers and worked with the National University of Samoa to open a Confucius Institute in that country.[5]

Case Study: Hollowing Out Democracy in the Solomon Islands

Beijing strives to increase its CNP on a cumulative, region-wide basis as well as within each target country. So, for example, the Solomon Islands — the site of the brutal Battle of Guadalcanal in World War II — also switched recognition from Taiwan to China in 2019 after successful "lobbying" by Beijing. Now that China has a toehold, it is even easier for Beijing to wage political warfare to support its CNP goals within the Solomon Islands.

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[4] Cleo Paskal, "Yes, Virginia, the Trump Administration Does Have a China Strategy," *The Diplomat*, October 24, 2020. (https://thediplomat.com/2020/10/yes-virginia-the-trump-administration-does-have-a-china-strategy); email correspondence with Captain (Ret.) Bernard Moreland, October 17, 2021.

[5] Denghua Zhang, "Growing Academic Interest in the Pacific — Pacific Research Centres in China," *Australian National University Department of Pacific Affairs*, February 2020. (http://dpa.bellschool.anu.edu.au/sites/default/files/publications/attachments/2020-02/dpa_in_brief_2020_2_zhang_final.pdf)

One example of Chinese political warfare in the Solomons involved the premier of Malaita Province, Daniel Suidani, who publicly opposed the switch from Taiwan to China because he was concerned that it would lead his own country to become less democratic and more authoritarian. When Suidani subsequently required medical care outside the country and Taiwan stepped in to provide treatment (something that would lose Beijing CNP points), the Chinese embassy tried to pressure the central government in the Solomons to punish him.[6] It was an overt attempt to export China's social credit system. Beijing sent the message: Believe the wrong thing and, if we can, we will leave you to die.

China's attempt to exert control via its proxies in the central government in the Solomons also extends to Suidani's home province. A petition from the people of Malaita describes how Beijing applied pressure through a classic deployment of China's doctrine of the "Three Warfares" (psychological, media, and lawfare):[7] The "government continually harasses the [local] government of Malaita through individuals, the media and even through the abuse of legal process."[8]

The petition also describes "overseas Chinese" taking over sectors of the economy: the "government has facilitated an influx of Chinese labour under the guide [*sic*] of PRC funded projects instead to ensure jobs for Solomon Islanders. This leading to the continued loss of labour and business which are taking over all business activities in the Solomon Islands resulting in the highest un-employment rate in Solomon Islands history."[9]

These activities are, of course, destabilizing domestically, which is also fine for Beijing. The Solomon Islands recently survived severe domestic unrest, requiring the intervention of a peacekeeping force led by Australia. Should the Solomon Islands again become destabilized, that could provide what is looking like an increasingly authoritarian government in the Solomons with a pretext to request the support of Chinese peacekeepers, which would shoot Beijing's CNP score in the Solomons through the roof.

I've described some of the "how" of Chinese CNP in Oceania, but what is the "why"? What is the value of Oceania to China's grand strategy — is there a specific reason to put in all this effort?

The region has economic and political value, but there is another reason why control, or at least influence, over large parts of Oceania is absolutely essential for Beijing. It is the same reason why Japan grabbed all the islands it could in the lead-up to, and during, World War II — and why Americans and their allies fought and died to reclaim beach after beach across thousands of miles, clawing their way toward the shores of Japan. It all comes down to geography.

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[6] "China reacts to premier Suidani receiving treatment in Taiwan," *The Island Sun* (Solomon Islands), June 1, 2021. (https://theislandsun.com.sb/china-reacts-to-premier-suidani-receiving-treatment-in-taiwan)
[7] Kerry K. Gershaneck, *Political Warfare: Strategies for Combating China's Plan to "Win without Fighting"* (Quantico, Virginia: Marine Corps University Press, 2020).
[8] Cleo Paskal, "How China buys foreign politicians: A case study," *The Sunday Guardian* (India), September 5, 2021. (https://www.sundayguardianlive.com/news/china-buys-foreign-politicians-case-study)
[9] Ibid.

The Island Chain Defense Concept

A core part of China's CNP is developing a world-class military — spearheaded by the People's Liberation Army Navy (PLAN) — that is capable of challenging, and eventually displacing, the United States as the world's preeminent naval power. The Chinese navy is well on its way to accomplishing that, at least in certain areas.[10]

As American naval strategist Paul Giarra explains:

> Between 2016 and 2020, the Chinese navy has added to its fleet essentially the equivalent of Japan's entire current surface fleet... The Chinese navy is building larger and more formidable surface combatants far faster than anyone else, with at least eight hulls already launched of a brand-new class of large surface warships. It is starting to deploy its new carrier force in ways reflecting [America's] own practice. Its growing amphibious force is a tangible threat to its neighbors. The PLA Navy is on track to have nearly twice as many surface ships as the U.S. Navy before the end of this decade.[11]

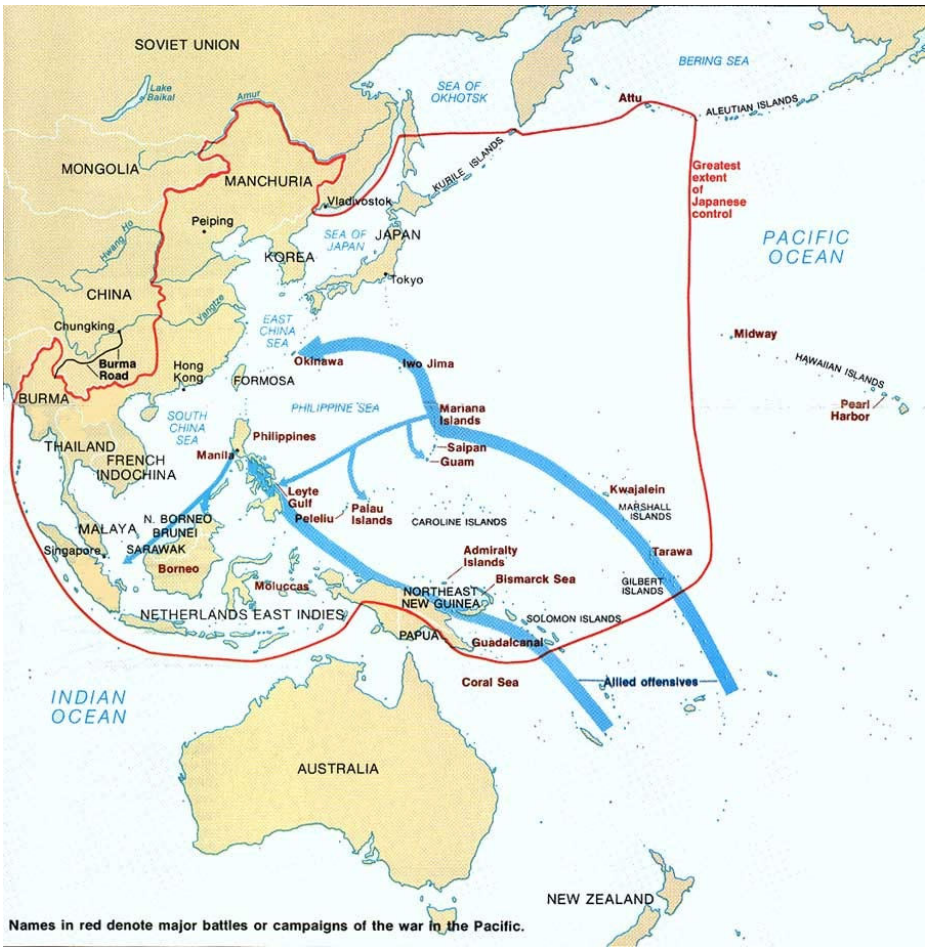
Meanwhile, the PLA Air Force is developing its long-range overwater capabilities equally fast.

But here is the problem for China: In order to employ its powerful new navy, it must have secure, safe, ready access to the Pacific. That is where the Island Chain Defense concept comes in. [12]

[10] Captain (Ret.) James E. Fanell, "China's global navy eyeing sea control by 2030, superiority by 2049," *The Sunday Guardian* (India), June 13, 2020. (https://www.sundayguardianlive.com/news/chinas-global-navy-eyeing-sea-control-2030-superiority-2049)
[11] Paul Giarra, "U.S. seapower is a full-time proposition, and we are losing the competition to China," *The Washington Times*, July 30, 2020. (https://www.washingtontimes.com/news/2020/jul/30/us-seapower-is-a-full-time-proposition-and-we-are-)
[12] There are no fixed definitions for which islands comprise the various island chains.

The need for control over islands was fundamental during World War I, formed the basis for much of Japan's interwar strategy, and was bloodily apparent during World War II. The current strategic framework for viewing the Pacific Islands originated with U.S. policy during and immediately following World War II.[13]

World War II in Oceania



Source: U.S. National Parks Service

In 1948, General Douglas MacArthur convinced George Kennan, then serving as the State Department's director of policy planning, that the United States needed to have a "striking force" in "a U-shaped area embracing the Aleutians, Midway, the former Japanese mandated islands, Clark Field in the Philippines, and above all Okinawa… From Okinawa [the United States] could easily control every one of the ports of northern Asia from which an amphibious operation could conceivably be launched."[14] Over time, this developed into a conceptual framework of

[13] Andrew S. Erickson and Joel Wuthnow Barriers, "Barriers, Springboards and Benchmarks: China Conceptualizes the Pacific 'Island Chains,'" *The China Quarterly*, Volume 225, March 2016, page 6. (https://doi.org/10.1017/S0305741016000011)

[14] U.S. Department of State, Office of the Historian, "Foreign Relations of the United States, 1948, the Far East and Australia, Volume VI," Document Number 519, March 25, 1948. (https://history.state.gov/historicaldocuments/frus1948v06/d519)

concentric island chains hemming in the maritime ambitions of continental Asian powers — the Island Chain Defense concept.

Chinese strategists adopted and adapted the American framing, with a view to breaking the chains. The founder of the modern PLAN, Admiral Liu Huaqing,[15] referred to the First Island Chain (broadly defined as the Kuril Islands; the Japanese archipelago, including the Ryukyu Islands; Taiwan; and the Philippines) as a "metal chain" that China would need to burst through to achieve its destiny.[16]

Making things even more difficult for Beijing, as Chinese strategists look beyond the First Island Chain, they see a second one, running from Japan down through Iwo Jima, onward to Guam and the Commonwealth of Northern Marianas, southwards through the Federated States of Micronesia, on to Indonesia and Papua New Guinea, and then to Australia. This is the "Second Island Chain."

The Island Chains as Depicted in the PLAN's 2012 Handbook



Source: 2012 PLAN Handbook

There is also a broadly defined "Third Island Chain" running from Alaska through Hawaii, through Midway, on to Kiribati, and ending in Tonga or New Zealand, depending on how one

[15] He was also the visionary for China's aircraft carriers and the commander of the Tiananmen Massacre.
[16] James Holmes, "How To Turn China's A2/AD Strategy Back on Them," *The National Interest*, November 18, 2019. (https://nationalinterest.org/blog/buzz/how-turn-chinas-a2ad-strategy-back-them-96611)

views things. Islands along the Second and Third Island Chains saw some of the most desperate and hard-fought battles of World War II. They are where the tide turned for the Allies.

If you're a Chinese strategist, you assume China can — with planning and effort — "break" the First Island Chain. In fact, this is a prerequisite. It is why one should not underestimate how serious China is about capturing Taiwan. If Taiwan falls, the First Island Chain is broken, and the People's Liberation Army (PLA) gains an unsinkable aircraft carrier and launching point for operations in the Pacific and beyond. If China controls Taiwan, it will expand from there — seizing more of the First Island Chain, up the Ryukyus and down the Batanes. That could eventually allow China to subordinate Japan and the Philippines. Tokyo understands this, which is why it is doubling Japan's defense budget.[17]

At the same time Beijing is working on Taiwan, it is also trying to leapfrog the First Island Chain by using political warfare of the sort seen in the Solomons. If China can burrow itself into the Second and Third Island Chains, it will disrupt American (and Japanese and Australian) defense plans and could potentially break down the First Island Chain's defenses from behind.

Understanding how important "breaking the chains" is for PLA strategy and operations is fundamental for understanding how the Pacific Islands fit into China's grand strategy — and how much effort Beijing is pouring into expanding its CNP across the region.

A View From the Pacific Islands

As seen from the Malaita petition, many Pacific Islanders have a better understanding of China and geostrategic issues than some of the top experts in Western think tanks. I have personally learned an enormous amount from them. They have come by this knowledge painfully and over a long time.

Over the last 130 years, parts of the Federated States of Micronesia (FSM) have been ruled sequentially by Spain, which sold them to Germany (after Spain's defeat in the Spanish-American War), which lost them to Japan (after its defeat in World War I) before the United States gained control in World War II.

Each change, decided by factors far outside the control of the FSM people, left a deep impression on the country's inhabitants. The FSM became independent in 1989 — finally getting its own say — and is now party to a Compact of Free Association with the United States. It has also signed on to China's Belt and Road Initiative.

Regional leaders, like many around the world, have been trying to balance interests without toppling over. This dynamic has a long history as well. The current king of Tonga is a direct descendent of King Tupou I (1798–1893), who successfully kept his country independent, in part

[17] Grant Newsham, "The Fall of Taiwan: Asia Goes Red — or at Least 'Pinkens,'" *Center for Security Policy*, February 23, 2021. (https://centerforsecuritypolicy.org/the-fall-of-taiwan-asia-goes-red-or-at-least-pinkens)

by playing European powers off against each other by signing reciprocal treaties with France (1855),[18] Germany (1876),[19] and the United States (1886).[20]

However, as China's hegemonic intensions become clearer, regional leaders — having seen where this path leads before — are becoming more concerned and more vocal.

In a recent speech, Ambassador Amatlain Elizabeth Kabua, Permanent Representative for the Republic of the Marshall Islands to the United Nations, said:

> We are concerned about being caught in the middle of a bad tug-of-war. In recent years, there has been increasingly high-level attention to our region, and while we welcome the engagement, we have [the] motivation to distinguish between someone who is interested in building a durable partnership to help us grow as a people and as a nation — which we welcome and encourage — or someone who is interested in our area just for their own expansion.[21]

In that context, the most often complaint heard about the United States in Oceania is "Where are you?"[22]

The United States Is a Pacific Island Nation

The United States itself is a Pacific Island nation, encompassing the American citizens who live on American soil, in Guam — the same Guam referenced when Chinese media calls China's DF-26 missile the "Guam killer."[23]

The United States currently has a range of different political arrangements with polities in Oceania. There are the "unincorporated United States insular areas" (also known as territories) of American Samoa, Baker Island, Guam, Howland Island, Jarvis Island, Johnston Atoll, Kingman Reef, Midway Atoll, the Commonwealth of the Northern Mariana Islands (CNMI), and Wake Island. Palmyra Atoll, which includes about 50 small islands a thousand miles or so south of Honolulu, is America's only incorporated insular territory.[24] The Exclusive Economic Zones of

[18] See: French Ministry for Europe and Foreign Affairs, "France and Tonga," accessed October 18, 2021. (https://www.diplomatie.gouv.fr/en/country-files/tonga)
[19] See: German Federal Foreign Office, "Germany and Tonga: Bilateral Relations," accessed October 18, 2021. (https://www.auswaertiges-amt.de/en/aussenpolitik/tonga/235660)
[20] See: U.S. Department of State, Office of the Historian, "A Guide to the United States' History of Recognition, Diplomatic, and Consular Relations, by Country, since 1776: Tonga," accessed October 18, 2021. (https://history.state.gov/countries/tonga)
[21] Carnegie Endowment, "Islands in Geopolitics," *YouTube*, September 19, 2021. (https://www.youtube.com/watch?v=ZbegDXWLHXA)
[22] Cleo Paskal, "Indo-Pacific strategies, perceptions and partnerships," *Chatham House*, March 23, 2021. (https://www.chathamhouse.org/2021/03/indo-pacific-strategies-perceptions-and-partnerships/06-tonga-and-indo-pacific)
[23] Bill Gertz, "Army deploying Iron Dome missile defense to Guam," *The Washington Times*, October 7, 2021. (https://www.washingtontimes.com/news/2021/oct/7/army-deploying-iron-dome-missile-defense-guam)
[24] See: U.S. Department of the Interior, Office of Insular Affairs, "Definitions of Insular Area Political Organizations," accessed October 18, 2021. (https://www.doi.gov/oia/islands/politicatypes)

these U.S. possessions in the Pacific combine to cover over 750,000 square miles, or roughly the size of Turkey.[25]

Washington also has important Compacts of Free Association (COFAs) with three independent countries, all in the Micronesian region: Palau, the Marshall Islands, and the FSM — together known as the Freely Associated States (FAS). The COFAs give the United States guaranteed military access as well as the "right of strategic denial," or the right to deny such access by other states.[26]

In recent decades, active U.S. engagement has been intermittent and often lackluster. Regardless, the United States has maintained and expanded military bases on Guam and the CNMI and has requested and held larger and more frequent multinational exercises in and with the region. Within the FAS, ties to the United States remained strong, with economic, familial, educational, and military links.[27] (FAS citizens serve in the U.S. military at rates exceeding that of most U.S. states).[28]

However, with increasing strategic tension in the area, overt Chinese gains, and the financial aspects of the COFAs up for renewal in 2023 to 2024, there has been a real effort to refocus on the area, including by many members of this subcommittee.

Bipartisan initiatives and leadership on the Pacific Islands have been exemplary. The Congressional Pacific Island Caucus was established in 2019 to help educate members on the importance of the Pacific Islands and to implement "sound national security in the Indo-Pacific over the next generation." Chairman Bera, Ranking Member Chabot, Caucus Co-Chair and Representative Brad Sherman, and Representatives Ted Lieu and Young Kim are among those on this subcommittee who also serve on the caucus.[29]

Caucus Co-Chair and Representative Ed Case said:

> If we leave [the Pacific Islands] to themselves, if we disengage, if we ignore, if we don't show up — they will have no choice but to take different directions. And I believe that if we do engage on a coordinated basis, if we do show up, if we do assist, if we do treat them with a mutual respect, that they will choose to continue down the path that has, I

[25] Alexander B. Gray and Douglas W. Domenech, "U.S. Territories: The Frontlines of Global Competition With China," *RealClearDefense*, March 11, 2021. (https://www.realcleardefense.com/articles/2021/03/11/us_territories_the_frontlines_of_global_competition_with_china_767683.html)
[26] U.S. House of Representatives, Committee on Foreign Affairs and Committee on Natural Resources, *Joint Hearing on Sustaining U.S. Pacific Insular Relationships*, September 26, 2019. (https://www.govinfo.gov/content/pkg/CHRG-116hhrg37848/pdf/CHRG-116hhrg37848.pdf)
[27] "The Freely Associated States and Issues for Congress," *Congressional Research Service*, October 7, 2020. (https://crsreports.congress.gov/product/pdf/R/R46573/2)
[28] Alexander B. Gray and Douglas W. Domenech, "U.S. Territories: The Frontlines of Global Competition With China," *RealClearDefense*, March 11, 2021. (https://www.realcleardefense.com/articles/2021/03/11/us_territories_the_frontlines_of_global_competition_with_china_767683.html)
[29] U.S. House of Representatives, Congressional Pacific Islands Caucus, "About," accessed October 18, 2021. (https://pacificislandscaucus-case.house.gov/about)

> think, been beneficial to most of this world. But it takes effort. It doesn't take just coasting along. It takes concerted, coordinated effort.[30]

There are strong indications of that effort. Under the previous administration, the National Security Council got its first Oceania director, and in a historic first, President Donald Trump hosted the three presidents of the COFA states at the Oval Office in May 2019.[31]

In May 2021, Chairman Bera and Representatives Sherman, Case, and Don Young introduced important legislation called the *Boosting Long-term U.S. Engagement in the Pacific Act*, or the *BLUE Pacific Act*, with the aim of "establishing a comprehensive, long-term U.S. foreign policy in the Pacific Islands amidst growing international engagement in the region."[32]

At the bill's introduction, Chairman Bera noted that:

> The United States is a Pacific nation, and our security and welfare are inextricably tied to those of our friends and allies in the South Pacific… For years, we have regrettably drifted away from this part of the world with which we share longstanding historical ties and which serves as an essential link between our nation and the Indo-Pacific.[33]

Also in May 2021, Chairman Bera joined Representative Young and Senators Brian Schatz and Lisa Murkowski in introducing the *Honoring Our Commitment to Elevate America's Neighbor Islands and Allies Act*, or the *Honoring OCEANIA Act*. Chairman Bera's press release announcing the legislation stated that this "bipartisan and bicameral bill would elevate all of Oceania in U.S. foreign policymaking to help deliver a robust diplomatic and development commitment to support the long-term growth, governance, and resilience needs of the region."[34]

Enhancing U.S. engagement with Oceania has also been highlighted in other legislative efforts, including the Pacific Deterrence Initiative.

The momentum towards seriously re-engaging with Oceania seems to be growing. However, that momentum can easily dissipate when dealing with such a vast and complex area. So, what should be prioritized?

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[30] East-West Center in Washington, "The United States' Enhanced & Enduring Commitment to the Pacific Islands Region," *YouTube*, November 21, 2020. (https://www.youtube.com/watch?v=lWjFI9HX56U)
[31] U.S. Department of the Interior, Press Release, "Interior Secretary Bernhardt Applauds President Trump for Historic Meeting with Presidents of Palau, Marshall Islands, and the Federated States of Micronesia," May 21, 2019. (https://www.doi.gov/pressreleases/interior-secretary-bernhardt-applauds-president-trump-historic-meeting-presidents)
[32] Boosting Long-term U.S. Engagement in the Pacific Act, H.R.2967, 117th Congress (2021). (https://www.congress.gov/bill/117th-congress/house-bill/2967)
[33] Office of Representative Ed Case, Press Release, "Case Joins Fellow Co-Chairs of Congressional Pacific Islands Caucus in Reintroducing Bipartisan Expanded Blue Pacific Act For Long-Term Coordinated United States Policy In The Pacific Islands Region," May 4, 2021. (https://case.house.gov/news/documentsingle.aspx?DocumentID=560)
[34] Office of Representative Ami Bera, Press Release, "Rep. Bera Introduces Bipartisan Legislation to Elevate Oceania in U.S. Foreign Policy," May 21, 2021. (https://bera.house.gov/media-center/press-releases/rep-bera-leads-introduces-bipartisan-house-bill-to-elevate-oceania-in-us)

Recommendations

It is helpful to look at Oceania region by region, as each will likely require a different strategy given the geopolitics at play. Broadly speaking, the countries of the region are generally divided politically into three areas:

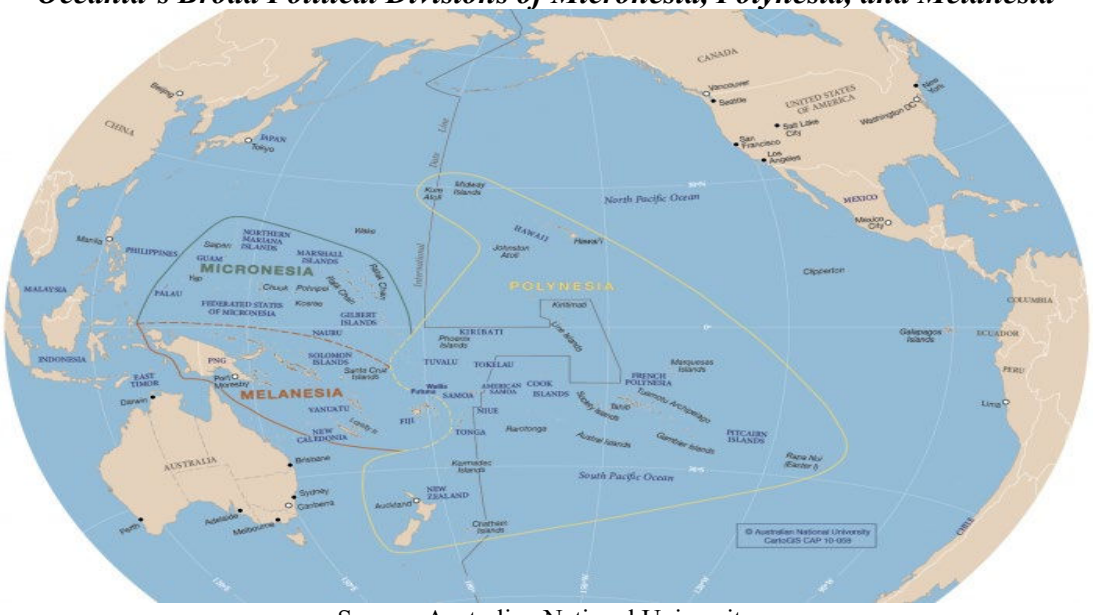
Micronesia: Kiribati, the Marshall Islands (COFA with the United States), the FSM (COFA with the United States), Nauru, and Palau (COFA with the United States). Guam and the Northern Marianas are also part of Micronesia. In terms of major Western powers, especially in a Five Eyes context, the United States is dominant here — with substantial roles being played by Japan and Taiwan.

Melanesia: Fiji, New Caledonia (a collectivity of France), Papua New Guinea, the Solomon Islands, and Vanuatu. Australia tends to be the dominant Five Eyes partner.

Polynesia: Cook Islands (Free Association with New Zealand), French Polynesia (a collectivity of France), Niue (Free Association with New Zealand), Samoa, Tonga, and Tuvalu and American Samoa. New Zealand tends to be the dominant Five Eyes partner.

The countries of Micronesia, Melanesia, and Polynesia vary widely in many ways, including geography, population size, economic structures, and more. Additionally, different regional powers seem to be trying to assert primacy in each area in different ways, requiring separate analyses — especially given that the main regional organization, the Pacific Island Forum (PIF), fractured in early 2021 when the five Micronesian countries announced their intension to leave the forum.[35]

Oceania's Broad Political Divisions of Micronesia, Polynesia, and Melanesia



Source: Australian National University

[35] Cleo Paskal, "How the Pacific Islands Forum fell apart," *The Diplomat*, February 10, 2021. (https://thediplomat.com/2021/02/how-the-pacific-islands-forum-fell-apart)

Micronesia: Micronesia is the area where the United States is already the major power, and it is where Washington can most quickly and effectively refine existing relationships and trial new ways of engaging.

Micronesia is also the most febrile zone in Oceania. It lies just beyond the First Island Chain and includes islands that are already designated missile strike targets by the PLA, such as Guam. While the United States is the dominant power in the region, Japan and Taiwan play important positive roles as well. Palau, Nauru, and the Marshall Islands all have full diplomatic relations with Taiwan.

The region is also actively rethinking its identity, providing a rare opening for discussion about its future and for innovation. Micronesia's seeming break with the PIF, as well as the ongoing renegotiations of the COFAs, has created an opportunity to build a strong, inclusive regional structure (with the support of the United States). If successful, that structure could then serve as a model for Melanesia and Polynesia.

The goal would be to create a **Micronesian Zone of Security, Prosperity, and Freedom** that would knit the region together and let its countries and territories reinforce each other. It would require a series of adjustments based on a comprehensive approach. Many changes would not require extra funding (and in fact could provide substantial economic opportunities in the region). For example:

- The United States should shift U.S. diplomatic responsibility for the Micronesian countries of Kiribati and Nauru from the U.S. Embassy in Fiji (Melanesia) to the one in Majuro, Marshall Islands (Micronesia).
- Working with the private sector, facilitate new commercial flight routes, possibly with Japanese or Taiwanese airlines, that allow the people of Micronesia easier access to each other's countries. This will facilitate the development of Guam, Majuro, or other regional nodes as education, health care, and trading hubs, encouraging regional cohesion and economic development.
- If the United States is going to stand up a First Fleet, Washington should consider basing it in the region.
- The United States should accept Palau's offer for expanded basing.
- The U.S. military should establish more permanent basing, including (if welcome) in the FSM, perhaps as part of logistical support for the U.S. Marine Corps' new distributed approach.
- The United States and its fellow "Quad" members should treat Micronesia as a priority for engagement. This could potentially include establishing a common headquarters for humanitarian assistance/disaster relief in the region. The Quad should also hold exercises in the region, including ones that address illegal fisheries. Human security initiatives like the Quad's vaccine collaboration could also be expanded in the region.[36]

[36] Cleo Paskal, "India's vaccine diplomacy a shot in the arm for the Quad?" *The Sunday Guardian* (India), February 6, 2021. (https://www.sundayguardianlive.com/news/indias-vaccine-diplomacy-shot-arm-quad)

- The United States could leverage the region's large number of U.S. military veterans to create the equivalent of a national guard that could be deployed during emergencies.
- Washington could offer COFAs to Kiribati and Nauru. (This would require convincing Canberra to accept what is best for Nauru and regional security rather than Australia's own narrow interests).[37]

These few examples give an idea of the range of possible initiatives that could produce substantial results.

Some countries in Micronesia are already crafting their own innovative solutions. Palau has been leading the way by enhancing its strategic autonomy while trying to build partnerships with likeminded countries — as seen by Palau's engagement with Taiwan and appointment of its first national security coordinator (NSC).[38]

If each of the Micronesian nations followed suit and appointed its own NSC, a Micronesian National Security Council would become possible. That council would provide an easy engagement point for American military, law enforcement, and others to hear directly from regional countries about what is going on and what they need to remain independent of China's malign influence.

These are, in effect, suggestions for a **comprehensive multinational defense to counter China's CNP**, for the benefit of all those who want to stay (or become) free.

COFA: In this context, one of the most urgent and essential issues for the United States to address is speedy and effective resolution of the COFA negotiations.[39] In a 2019 hearing, Representative Brad Sherman, a member of this subcommittee, said, "[T]he Compacts create bonds between the United States and these three countries that are closer than we enjoy with any other sovereign nation."[40] Delays in the negotiations make partners in the COFAs very nervous indeed, and leave huge openings for Chinese political warfare.

It is difficult to overstate the importance of the COFAs to the Freely Associated States. According to the U.S. Integrated Country Strategy for the FSM, if the country's COFA negotiation is not resolved:

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[37] Alexander B. Gray, "How the US Can Protect The Sovereignty of the Smallest Pacific Islands," *The Diplomat*, May 7, 2021. (https://thediplomat.com/2021/05/how-the-us-can-protect-the-sovereignty-of-the-smallest-pacific-islands)

[38] Senior Airman Aubree Owens, U.S. Air Force, Pacific Air Forces, Press Release, "36 CRG sends military training team to Palau," June 29, 2021. (www.pacaf.af.mil/News/Article-Display/Article/2678163/36-crg-sends-military-training-team-to-palau)

[39] Jack Detsch and Zinya Salfiti, "Congress Presses White House to Take Control of Pacific Island Talks," *Foreign Policy*, September 8, 2021. (https://foreignpolicy.com/2021/09/08/congress-presses-white-house-to-take-control-of-pacific-island-talks)

[40] U.S. House of Representatives, Committee on Foreign Affairs and Committee on Natural Resources, *Joint Hearing on Sustaining U.S. Pacific Insular Relationships*, September 26, 2019. (https://www.govinfo.gov/content/pkg/CHRG-116hhrg37848/pdf/CHRG-116hhrg37848.pdf)

> The future of many of the 50 plus USG components operating in the FSM also appears uncertain. Absent action from Congress, several will end their operations in 2024, including [the Federal Aviation Administration], [the Federal Deposit Insurance Corporation], the Post Office, and the hybrid COFA disaster response mechanism that is funded by [Federal Emergency Management Agency] and implemented by [the U.S. Agency for International Development]. The presence in the FSM of the remaining 45 plus agencies after 2023 is also in question… Absent other countervailing factors, the reduction in US foreign assistance portends likely greater economic and political instability in the FSM after 2023.[41]

The United States could speed up the process by taking up recommendations that 15 members of Congress, including Chairman Bera and subcommittee members Dina Titus and Young Kim, sent in a June 29, 2021, letter to President Joseph Biden. The letter urges the president to "appoint a special envoy or other dedicated senior appointee based out of the White House to coordinate an interagency effort to renew the COFAs."[42]

Polynesia: New Zealand is, broadly speaking, the "lead" Five Eyes country on Polynesia. However, upon closer examination, New Zealand seems to be trying to create a sphere of influence for itself, which may ultimately play into China's hands. If Wellington will not change course, the United States and other democracies should reconsider how they engage with New Zealand. Either way, more direct U.S. bilateral engagement with Polynesian countries is essential for understanding the realities on the ground.

Wellington's strategy can be understood by looking at how its policies have shaped regional politics. New Zealand was a key vote in the fragmentation of the PIF,[43] was a player in the governance disruptions at the University of the South Pacific,[44] and was a key promoter of the PACER Plus trade deal.[45] So what is New Zealand trying to accomplish? Wellington (along with Canberra) seems to have a goal of "integrating" the Pacific Island countries,[46] in particular Polynesian countries, into New Zealand's economic and security structures. Wellington's focus on Polynesia has become increasingly overt, as has its effort to position New Zealand as the entry point for other countries looking to engage in the region.

In April 2021, New Zealand Foreign Minister Nanaia Mahuta spoke to the New Zealand China Council "to outline what New Zealand's contemporary relationship with China looks and feels like." She chose the imagery of a Chinese dragon meeting the New Zealand Taniwha (a

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[41] U.S. Department of State, "Integrated Country Strategy: Federated States of Micronesia," August 16, 2018. (https://www.state.gov/wp-content/uploads/2019/01/Micronesia.pdf)
[42] Representative Ed Case et al., *Letter to President Joseph Biden*, June 29, 2021. (https://theyappie.com/wp-content/uploads/2021/09/2021.06.29-Letter-to-POTUS-on-COFA-Renegotiations.pdf)
[43] Cleo Paskal, "How the Pacific Islands Forum fell apart," *The Diplomat*, February 10, 2021. (https://thediplomat.com/2021/02/how-the-pacific-islands-forum-fell-apart)
[44] "Fiji-deported USP vice-chancellor Ahluwalia gets new contract," *Asia Pacific Report* (New Zealand), May 26, 2021. (https://asiapacificreport.nz/2021/05/26/fiji-deported-usp-vice-chancellor-ahluwalia-gets-new-contract)
[45] Cleo Paskal, "Australia and New Zealand Must Rethink Their Approach to Pacific Trade," *Chatham House*, October 23, 2018. (https://www.chathamhouse.org/2018/10/australia-and-new-zealand-must-rethink-their-approach-pacific-trade)
[46] Graeme Dobell, "Foreign policy white paper 2017: integrating the South Pacific," *The Strategist*, December 4, 2017. (https://www.aspistrategist.org.au/foreign-policy-white-paper-2017-integrating-the-south-pacific)

supernatural water creature from the Maori tradition). She said, "Taniwha are endemic to Aotearoa [New Zealand] but can trace their whakapapa [kinship] across the vast expanse of the Pacific Ocean... Taniwha are protectors or guardians."[47]

Fundamentally, the minister, herself Maori, was claiming a special role in the region for New Zealand by virtue of "historical, cultural, social, linguistic and kin connections", while invoking the role of protector via the Taniwha.[48] However, the Taniwha is a purely Polynesian creature, and there are few linguistic or other connections between Polynesians and, say, Marshallese.

As such, Mahuta's speech seems to imply that New Zealand's focus is not Oceania as a whole, but Polynesia. New Zealand knows it plays only a minimal role in Micronesia and a limited role in Melanesia, so it makes sense (and follows 120 years of New Zealand foreign-policy tradition) for Wellington to focus on Polynesia. For example, Micronesia's three Freely Associated States and two of the Melanesian countries (Papua New Guinea and Fiji) stayed out of the New Zealand-backed PACER Plus trade agreement, while almost all the Polynesian countries signed on.

This goes a long way towards explaining, for example, why it would be convenient for New Zealand if Micronesian countries (along with their American backers) left the PIF. The pool gets smaller, and so New Zealand's influence is relatively larger. At the same time, as indicated by Mahuta's speech, New Zealand seems to be trying to place itself as the entry point into Polynesia for countries from outside the region, including China.

Wellington also seems to be trying to have its Chinese economic cake as well as its Five Eyes security protection. However, old memories about its shenanigans regarding the Australia-New Zealand-U.S. (ANZUS) Treaty were resurrected by Wellington's declarations over the recent Australia-UK-U.S. (AUKUS) security partnership, and there are murmurs about New Zealand's future in the Five Eyes.[49] Wellington has gotten away with pushing the limits of its strategic partnerships in the past, but there may be dwindling patience with a partner on whom one may not be able to rely in a crisis.

New Zealand's attempts at scything off a zone of influence by allowing regional organizations to fragment, battering down the economic defenses of sovereign nations via PACER Plus, and eroding the strategic autonomy of regional states by, for example, installing a New Zealander police commissioner in Tonga are not only damaging for the people of the region. They are also foolhardy strategically, especially as New Zealand is also a seemingly wobbly partner to larger

[47] Foreign Minister Nanaia Mahuta, New Zealand Government, "He Taniwha He Tipua, He Tipua He Taniwha - The Dragon and the Taniwha," April 19, 2021. (https://www.beehive.govt.nz/speech/%E2%80%9Che-taniwha-he-tipua-he-tipua-he-taniwha-dragon-and-taniwha%E2%80%9D)

[48] In speaking of the Pacific Islands, Mahuta said: "In many respects one could surmise that we share common Taniwha. Our historical, cultural, social, linguistic and kin connections across the Pacific are significant." She also described New Zealand's role in the Pacific as being almost like a "guardian" in the context China-New Zealand relations: "New Zealand will continue to build cooperation in areas of mutual interest, bringing benefits to people in both countries [China and New Zealand], and I hope [to] the resilience of the Pacific, while protecting and promoting New Zealanders' well-being, security and prosperity."

[49] Julia Hollingsworth, "New Zealand is a Five Eyes outlier on China. It may have to pick a side," *CNN*, June 3, 2021. (https://www.cnn.com/2021/06/03/asia/new-zealand-xinjiang-china-intl-hnk-dst/index.html)

democratic countries in the region. If New Zealand thinks its Taniwha can take on the CCP dragon not only at home but in Polynesia as well, Wellington truly does not understand what is going on in within its border and across the region.

Given this uncertainty, the United States should engage bilaterally with Polynesian countries to gauge the situation on the ground, without relying solely (or even primarily) on New Zealander interlocutors.

Some other democratic countries, such as Japan, are already working on this. But there is still insistence in some quarters in the United States that New Zealand must be included as a trilateral partner. If New Zealand is to change direction, Wellington needs to know its Taniwha will not be allowed to scare off others who truly want to be partners to the countries of Polynesia. A true partner would work with Polynesian countries to improve their strategic autonomy and ability to withstand Chinese political warfare, instead of pursuing New Zealand's vision of eventual "integration," which aims to see the countries become satellites of New Zealand's system. Indeed, this "integration" would likely result in the Polynesian countries (and New Zealand) becoming satellites of China.

Melanesia: Australia is replicating in Melanesia some of the "integration" missteps that New Zealand is pursuing in Polynesia. Canberra also demonstrates a tendency for "strategic inaction" when tougher policy decisions might be deemed inconvenient. For example, Canberra has not acknowledged the concerns of the pro-democracy petitioners of Malaita regarding CCP influence, possibly so as not to affect Australia's relations with the central government in the Solomon Islands.

However, there is a separate strand of Australian policymaking that is clear about the threat from China and is willing to make bold moves, such as AUKUS.

For Australia to be more effective in promoting a free and open Indo-Pacific, particularly in Oceania, the United States might want to encourage and work with Canberra to:

- Supplement Canberra's crop of in-house Pacific policy experts with China experts;
- Trust Pacific Islanders to have a better understanding of their situation on the ground than the go-to Australian experts, and listen to them;
- Support regional leaders who are standing up for democracy, transparency, and accountability;
- Not feel threatened by or try to sabotage bilateral engagement between Pacific Island countries and countries who share Australia's broad strategic goals, such as Taiwan, Japan, and the United States; and
- Not try to force unwanted "integration" models on the region. Policies that are designed to benefit narrow Australian business interests in the short term are likely to undermine and possibly destabilize the Pacific Island partners and leave them more open to Chinese predation. By using its strategic weight to push for concessions in business negotiations with Pacific Island countries, Australia may end up losing the business as well as its reputation as a reliable strategic partner.

Conclusion

There was a time when many of the most prominent leaders in this country knew firsthand what war in the Pacific looked like and how close America's bond is with the people of the region.

In 1943, two Solomon Islanders helped save future President John F. Kennedy and his crew in the days after his patrol boat was rammed and sunk by the Japanese.[50]

Benjamin Gilman, longtime (1995–2001) chairman of the House Committee on Foreign Affairs, whose portrait might be looking down on us if we were meeting in person, flew 35 missions over Japan as a side gunner in a B29 Super Fortress. On two separate occasions, his plane was so severely damaged he never would have made it back — except for the fact he could do an emergency landing at Iwo Jima. The blood of Americans is mixed with the blood of Pacific Islanders in the soil and seas of Oceania.

Last month, Ambassador Amatlain Elizabeth Kabua, the permanent representative of the Marshall Islands to the United Nations, noted that at the time that her country's COFA was originally concluded with the United States:

> Many in the U.S. Congress and government had fought in the Pacific during World War Two — they knew who we were, where we were, and why we were important.[51]

To avoid the next war, we will have to learn that again.

Chairman Bera, Ranking Member Chabot, and other members of the subcommittee, thank you for all your work toward accomplishing this goal, and for inviting me to testify today.

[50] Rob Brown, "The Solomon Islanders who saved JFK," *BBC* (UK), August 6, 2014. (https://www.bbc.com/news/magazine-28644830)
[51] Carnegie Endowment, "Islands in Geopolitics," *YouTube*, September 19, 2021. (https://www.youtube.com/watch?v=ZbegDXWLHXA)

Metropolitan Powers and Exclusive Economic Zones in Oceania

